

The effect was more than satisfactory: the market took off again. In the three summer months, the increase in prices outran all of the quite impressive increase that had occurred during the entire previous year.

By now the wholly predictable and more than adequately identified features of the great speculative episode were again present and evident. Prices were going up because private investors or institutions and their advisers were persuaded that they were going up more, and this persuasion then produced the increase. Leverage was magnificently available, indeed a special marvel of the time. In its most commonplace form, it allowed the purchase of stock on a 10 percent margin—10 percent from the aspiring owner, 90 percent from the obliging lender. It wasn't cheap; by that summer the borrower paid at the then incredible interest rates of from 7 to 12 percent and once as high as 15.

The closed-end investment trusts of United Founders Corporation, Goldman, Sachs, and many other similar enterprises were especially celebrated for their genius in discovering and using leverage. The United Founders group, tracing back to an original promotion in 1921, foundered and was rescued with a \$500 infusion of capital from a friend. It then borrowed money and sold securities to finance investment in other securities for an eventual total of around a billion dollars. This—assets worth a billion dollars from an original investment of \$500—could have been the most notable exercise of leverage of all time, those Michigan banks and the notes leveraged against the ten-penny nails possibly excepted.

As dramatic was the leveraged extravaganza sponsored by Goldman, Sachs.

The Goldman Sachs Trading Corporation was launched by Goldman, Sachs in late 1928 with the sole purpose of holding and speculating in common stocks. The first stock offering was modest—\$100,000,000, which went, as noted, to buy other securities. The following summer the Trading Corporation launched the Shenandoah Corporation, selling its stock and preferred stock to the public but retaining ultimate common-stock control in its own hands. The purpose of Shenandoah, also, was to buy and hold common stock; all gains in the value of the stock so held accrued to the holders of the common stock—including, notably, the Trading Corporation—and not to those of the fixed-return preferred. Then Shenandoah launched the Blue Ridge Corporation, repeating the process. The leveraged increase